

Case study
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Introduction

Information systems that are implemented at large scales are critical to modern business operations, yet they are also highly complex and risky. The case involving Bridgestone Americas and IBM highlights the challenges organizations face when implementing enterprise systems. Especially when it comes to SAP software. The dispute demonstrates how miscommunication, poor project management, and conflicting expectations can lead to financial losses, legal action, and reputational damage (Charette, 2013). To see what each party could've done differently, this paper aims to analyze the causes and effects, the impacts on each company's reputation, and the ultimate resolution of the lawsuit.

In regard both Bridgestone and IBM contributed to the failure of the project. Bridgestone's decision to proceed with a "flash cutover" where the entire system went live simultaneously significantly increased the risk of failure. A phased implementation approach would have allowed the company to identify and resolve issues incrementally, reducing operational disruptions (A Critical Analysis of the Bridgestone - IBM Dispute, n.d). Bridgestone's lack of consistent leadership, this is highlighted by the multiple changes in chief; making decisions to lead the project could have created instability (Charette, 2013). The company failed to ensure that the internal team had sufficient knowledge of legacy systems, which is essential for a successful transition to a new platform.

IBM, on the other hand, also had the responsibility for the project's outcome. For one, it is an experienced consulting firm. In their case, the judgment was lacking; they decided to launch a system that wasn't ready. Even with Bridgestone insisting IBM had the obligation to clearly document risks and escalate concerns (Staff, 2013). In addition to this, the overall people who

handled the project seemed to lack expertise, which showed the poor resource allocation. IBM's efforts to troubleshoot introduced new issues and showed a significant weakness in testing and quality assurance processes. (Charette, 2013)

The impact that this caused for both companies had some negative consequences, However IBM's reputation was harmed way more over publicity surrounding the case. As a global leader in information technology services. IBM is expected to deliver reliable and effective solutions. Allegations of fraud, negligence, and misrepresentation can undermine client trust and damage long term business relationships. (Charette, 2013). Potential clients may also question IBM's quality and ability to manage complex projects, particularly those involving enterprise software integration.

While Bridgestone also faced harm to their reputation, in terms of reliability and customer satisfaction. The system failures led to lost order and processing error and delays, which disrupted operations and customer relationships (Staff, 2013). However, Bridgestone's core business is manufacturing and selling tires not providing IT services. This was the difference between these two companies and the lasting effects. On the other hand, IBM had a more severe reputation change because its business depends on credibility in technology consulting.

To better the reputation of IBM, there could be a more proactive approach to risk communication and project management. Documentation of objections and the acknowledgement of the risks posed, ensuring everyone understood the implications of the matter. Bridgestone's reputation could have been salvaged by prioritizing customer experience during system rollout (A Critical Analysis of the Bridgestone - IBM Dispute, n.d.)

The outcome filed by Bridgestone against IBM was for significant damages, even the breach of contract fraud, and negligence. The case clearly highlighted how system failures disrupted operations and this meant financial losses for the company exceeding 200 million (Staff, 2013). Out-of-court settlements are common in complex corporate disputes, particularly when both parties face risks in continuing litigation. In this case, a settlement likely allowed both organizations to avoid further financial and reputational damage.

The Bridgestone vs. IBM case, highlights and exemplifies the risks of associations large scale IT system implementations without proper communication, errors on both ends in project management, decision making and implementation. This high risk system launch and IBM's lack in quality assurance and risk management led to significant losses and reputational hindrance as IBM's was significantly damaged. This case shows the importance, of transparency, collaboration, and careful planning in a complex field in information systems and technology related projects

References

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